Research Evolution — Project 1 (ACI)

Edition A — unchanged baseline

Receipt status (stated plainly): Edition A was **not submitted** to the Brightspace "Project 1 — Edition A Checkpoint (AI Closed)" assignment, so no checkpoint receipt exists. Following Dr. Zhang's clarification, the original file is included unchanged rather than recreated.

Corroborating evidence:

- The original file, `Project 1 Edition A - ACI.md`, was last modified **Sept 1, 2026, 5:41:43 PM EDT** and has not changed since. SHA-256 `e0d395c77c43c8077ee71dfdee020e887e91be6dd8aba6841905e4d159e232b7`; the repository copy (`docs/edition-a/`) matches byte for byte.
- Brightspace records my **Lab 03 checkout** (the supervised, AI-off Edition A lab) as *written Sept 1, 2026, 4:53 PM – 5:48 PM*, 25/25. It contains my FY2025 10-K analysis from the same session (local file saved 5:47 PM). The Edition A file was saved inside that window. Screenshots: `docs/edition-a/lab03-checkout-1..3.png`.

The unchanged Edition A text follows on the next page, printed verbatim from the original file.

Edition A — verbatim original (not edited)

File: `Project 1 Edition A - ACI.md` · last modified 2026-09-01 17:41:43 EDT · SHA-256 e0d395c77c43c8077ee71dfdee020e887e91be6dd8aba6841905e4d159e232b7

Project 1 — Edition A: Albertsons Companies, Inc. (ACI)

Prepared for: Fund Investment Committee
Decision user: The fund's investment committee
Company: Albertsons Companies, Inc. (NYSE: ACI; CIK 0001646972)
Valuation date: February 28, 2026 (the fiscal year-end balance-sheet date)
Filing used: Form 10-K, accession 0001646972-26-000032, filed April 27, 2026

Initial decision and thesis

Initial view: Watch / defer. Albertsons generated $83.173 billion of FY2025 revenue and operates at meaningful scale, but the available starting record shows $8.748 billion of net debt. Before initiating, the committee needs a sustainable earnings and free-cash-flow view, a normalized debt reduction path, and a valuation that produces an adequate equity return after the enterprise-to-equity bridge.

This is deliberately a research posture, not a recommendation to buy or sell. It is based on one annual filing and no market-price, earnings-quality, peer, or forward-estimate work yet.

Known evidence

All dollar amounts are USD millions unless noted.

Item	Evidence from FY2025 10-K
Revenue	$83,172.5 ($83.173 billion) for the year ended February 28, 2026
Cash and cash equivalents	$198.6 at February 28, 2026
Debt including current maturities	$8,946.6 at February 28, 2026: $534.0 current and $8,412.6 noncurrent
Net debt (synthetic bridge input)	$8,748.0, calculated as $8,946.6 debt less $198.6 cash
Diluted weighted-average shares	547.2 million for FY2025
Diluted EPS	$0.40 for FY2025
Store count	2,244 at February 28, 2026

Primary source: Albertsons FY2025 Form 10-K, accession 0001646972-26-000032. A preserved local copy is `ACI 2026 10K.htm` in this folder.

Enterprise-to-equity bridge check

Using the filing's balance-sheet inputs:

```
Equity value = Enterprise value - total debt + cash
             = Enterprise value - $8,946.6m + $198.6m
             = Enterprise value - $8,748.0m
```

At 547.2 million diluted weighted-average shares, net debt represents $15.99 per diluted share. This is a mechanical bridge check only; the filing does not provide the enterprise-value assumption.

Consequential assumptions

- The valuation date uses the 10-K balance-sheet date, February 28, 2026, so cash and debt are aligned to that date.
- Total debt is defined as the filing's “long-term debt and capital lease obligations including current maturities.” This includes capital lease obligations; any alternative lease treatment must be applied consistently to both enterprise value and operating metrics.
- Cash is fully available to offset debt for this preliminary bridge. Restricted-cash treatment requires confirmation before a final valuation.
- Diluted weighted-average shares are a proxy for equity-value-per-share conversion. A final recommendation should use a current fully diluted share count and incorporate all relevant dilutive securities.

Material unknowns

- Current share price, market capitalization, and a valuation-date enterprise value.
- Normalized EBITDA, EBIT, free cash flow, working-capital needs, and capital expenditures.
- Debt maturities, interest-rate exposure, covenants, refinancing capacity, and lease-adjusted leverage.
- Comparable-company valuation, precedent transactions, and an intrinsic-value range.
- Same-store-sales trends, gross-margin drivers, competitive position, and the durability of revenue and cash flow.
- Capital-allocation priorities, dividends or repurchases, litigation/regulatory exposure, and management incentives.

Research plan

1. Obtain the valuation-date share price and calculate market capitalization and enterprise value using the same cash/debt convention above.
2. Build FY2023–FY2025 income statement, cash-flow, and leverage history from the 10-K; reconcile GAAP to any non-GAAP measures.
3. Normalize EBITDA and free cash flow for nonrecurring items, leases, working capital, and maintenance capital expenditures.
4. Analyze debt maturities, interest expense, liquidity, and downside covenant/refinancing risk.
5. Test operating durability through same-store sales, margin, store-base productivity, customer mix, competitive positioning, and key risks disclosed in the filing.
6. Value the company using DCF and comparable-company approaches, then bridge each enterprise-value case to equity value and per-share value using fully diluted shares.
7. Define upside, base, and downside cases; identify catalysts, disconfirming evidence, and a clear decision threshold for initiation.

Partner-generated falsification question

What evidence would show that Albertsons’ apparent cash-flow capacity cannot sustainably service or reduce its $8.748 billion net debt while maintaining the reinvestment needed to protect store-level competitiveness?

Dated correction addendum

None. Edition A's facts (FY2025 revenue $83,172.5m; cash $198.6m; debt incl. finance leases $8,946.6m; net debt $8,748.0m; 547.2m diluted weighted-average shares; diluted EPS $0.40; 2,244 stores) match the 10-K. Later changes are updates to newer evidence, recorded in Edition B, not corrections.

Edition B — after project-specific research and disclosed AI assistance

Current decision and intended user

The fund's investment committee (no position) should place ACI on **watch/defer**, with a valuation range of **$13–$19 per share** (base $17.89) against a $13.09 price on Oct 16, 2026, and revisit at Q3 FY2026 results and the Q4 FY2026 turnaround plan. Initiation requires evidence that SG&A as a share of gross profit is falling.

A-to-B evidence table

Item	Edition A (Sept 1)	Edition B (Oct 19)	Primary driver of change	Evidence/test justifying changed or unchanged position
Thesis/recommendation	Watch/defer; no valuation yet ("one annual filing and no market-price … work")	**No material change in the call:** watch/defer, now with a $13–$19 range and dated triggers	Mixed: own analysis + new company evidence	Q1 and Q2 FY2026 identical sales −0.8%; guidance withdrawn Oct 13, 2026; reverse DCF implies no cost recovery (FY2030 SG&A/GP 93.9%); flat 94.0% gives $12.69 < $13.09
Data/source choice	FY2025 10-K only; Feb 28, 2026 balance sheet; 547.2m diluted weighted-average shares	10-K + Q1 10-Q + Q2 8-K; Sept 12, 2026 bridge (debt $9,328.2m, cash $282.0m, opioid obligation $773.8m); 488.2m diluted shares; dated price and WACC inputs	Course instruction (as-of discipline, contamination catalog) + own analysis; AI helped locate the Q2 release and share count	26.0m shares repurchased in 28 weeks made 547.2m stale (≈12% overstatement); provider "total debt" ($15.92bn) includes operating leases, so the bridge uses filed debt incl. finance leases
Assumption/model design	Plan only: DCF + comps, bridge EV − $8,748.0m	Pro-forma-driven FCFF DCF; 52-week normalized base; opioid charge out of SG&A and into the bridge; payables at 24.2 days; WACC 7.7% built from sourced inputs; EV/EBITDA and P/E comps under one definition	Course instruction (Weeks 3–6) + AI (engine build, payables proposal) + own review	Payables proposal checked on the 10-K balance sheet ($4,021.2m) and accepted; 10 tests pass incl. course known answers $27.4974 and $291.75; Locked Changed-Input Record (commits `7ae0841`, `6d9c64e`)

Item	Edition A (Sept 1)	Edition B (Oct 19)	Primary driver of change	Evidence/test justifying changed or unchanged position
Risk/limitation/uncertainty	"Can cash flow service or reduce $8.748bn net debt while reinvesting?"	Main risk moves to the **cost ratio**: value swings ≈$2.60/share per 0.5 pt of SG&A/GP; terminal value 79.7% of EV; no management guidance; debt still rising (Q2 net debt ratio 2.42 vs 2.02)	Own analysis + peer challenge (Lab 12 partner asked why recovery is allowed at all and why the methods are not averaged)	Base-case FCFF stays positive at ≈$0.9–1.15bn a year after $2.0bn capex and cash builds without the revolver, so debt service is not the binding question; one-at-a-time sensitivity and the range-dependence test show SG&A/GP and WACC dominate

What changed from Edition A to Edition B, and why?

The **call did not change**: Edition A said watch/defer before any valuation, and Edition B still says watch/defer. What changed is that the call now rests on tested evidence instead of missing evidence. Three things moved it. First, new company evidence: two straight quarters of −0.8% identical sales and the Oct 13 guidance withdrawal mean nothing from management anchors FY2026. Second, my own model: once the FCFF DCF was driven by the pro-forma, the value turned out to hinge on one ratio, SG&A as a share of gross profit, and the reverse DCF showed the $13.09 price already assumes no improvement in it. That makes ACI neither clearly cheap nor clearly expensive. It is a bet on the turnaround. Third, course instruction and a partner challenge pushed me to normalize the base year, fix the share basis and bridge date, keep the methods separate instead of averaging them, and justify why the model allows any recovery at all. AI sped up the engine build and proposed the payables change; I accepted that only after checking the 10-K. The risk Edition A worried about, debt capacity, turned out to be secondary in the base case; the binding risk is whether costs come down. The evidence that would change the call is named in the memo's triggers.

Appendix — Lab 03 checkout (Brightspace, written Sept 1, 2026, 4:53–5:48 PM)

Lab 03 — Project 1 Valuation Edition A - Results

Attempt 1 of 3

Written Sep 1, 2026 4:53 PM - Sep 1, 2026 5:48 PM

Attempt Score **25 / 25 - 100 %**
Overall Grade (Highest Attempt) **25 / 25 - 100 %**

Question 1

Lab Token

KISS EDGAR

This question has not been graded.

Question 2

Team information (required): List the Purdue email address(es) of the one or two classmates who worked with you during today's lab. Teams must contain 2 or 3 students total. Each student submits an individual checkout.

tminausk@purdue.edu

This question has not been graded.

Question 3 0 / 25 points

Complete every heading with specific, truthful details from today's lab.

DISCOVER — What was uncertain or unknown at the start? What evidence, test, result, or discussion made it clearer?

DEFINE — State the problem or question as you now understand it. Identify one boundary, assumption, or success criterion that matters.

GOOD QUESTION — Write one question worth pursuing next and explain why it matters.

MY CONTRIBUTION — What did you personally do? Be specific enough to distinguish your work from your teammates' work.

TEST / CHECK / RESULT — What did you test, verify, compare, challenge, or change, and what happened? For a case discussion, identify the claim or evidence you examined.

OPTIONAL ARTIFACT LINK — Add a GitHub, app, notebook, document, or other link if one exists. Write N/A if no artifact was produced.

ATTESTATION — Type exactly: I completed this work in today's class with the teammate(s) listed above, and this checkout is truthful.

```
# ACI FY2025 10-K — Analysis Summary

## Source filing

- **Entity:** Albertsons Companies, Inc.
```

- **Ticker / CIK:** ACI / 0001646972
- **Form:** 10-K
- **Accession number:** 0001646972-26-000032

Source filing

- **Entity:** Albertsons Companies, Inc.
- **Ticker / CIK:** ACI / 0001646972
- **Form:** 10-K
- **Accession number:** 0001646972-26-000032
- **Filed:** April 27, 2026
- **Reporting period:** Fiscal year ended February 28, 2026 (February 23, 2025 through February 28, 2026)
- **Source:** [SEC filing](https://www.sec.gov/Archives/edgar/data/1646972/000164697226000032/aci-20260228.htm)
- **Local source file:** `ACI 2026 10K.htm`

Units and conventions

- Monetary amounts in the filing facts below use **U.S. dollars** and are shown in **millions**, unless stated otherwise.
- Shares are shown in **millions**.
- Balance-sheet amounts are measured as of **February 28, 2026**.
- Income-statement amounts and weighted-average shares cover the **fiscal year ended February 28, 2026**.

Extracted 10-K facts

Item	FY2025 / February 28, 2026 value	Filing evidence
Revenue	$83,172.5m	Revenue from contracts with customers excluding assessed tax
Cash and cash equivalents	$198.6m	Cash and cash equivalents at carrying value
Current debt and capital lease obligations	$534.0m	Long-term debt and capital lease obligations, current
Noncurrent debt and capital lease obligations	$8,412.6m	Long-term debt and capital lease obligations, noncurrent
Total debt including current maturities	$8,946.6m	Long-term debt and capital lease obligations including current maturities
Diluted weighted-average shares	547.2m	Weighted-average diluted shares outstanding
Diluted EPS	$0.40	Diluted earnings per share
Store count	2,244	Number of stores

Synthetic enterprise-to-equity bridge

The filing provides cash and debt inputs, but no enterprise-value assumption. Using the filing's debt definition, the bridge is:

```text
Enterprise value
Less: total debt including current maturities     ($8,946.6m)
Add: cash and cash equivalents                    $198.6m
-----------------------------------------------------------------
Equity value                                EV - $8,748.0m
```

Calculation

Synthetic enterprise-to-equity bridge

The filing provides cash and debt inputs, but no enterprise-value assumption. Using the filing's debt definition, the bridge is:

```text
Enterprise value
Less: total debt including current maturities     ($8,946.6m)
Add: cash and cash equivalents                    $198.6m
-----------------------------------------------------------
Equity value                                      EV - $8,748.0m
```

Calculation

```text
Net debt = total debt - cash
      = $8,946.6m - $198.6m
      = $8,748.0m

Net debt per diluted weighted-average share
      = $8,748.0m / 547.2m
      = $15.99 per share
```

Therefore, for any selected enterprise value expressed in millions:

```text
Equity value = Enterprise value - $8,748.0m
Implied equity value per diluted share = (Enterprise value - $8,748.0m) / 547.2m
```

Interpretation and limitations

- The $8.748bn net-debt figure is a **mechanical bridge input**, not an assessment of leverage sustainability or fair value.
- The debt definition includes capital lease obligations. Any valuation using a different lease convention must treat enterprise value, debt, and operating metrics consistently.
- The $198.6m cash balance is assumed fully available to offset debt for this preliminary calculation. Restricted-cash availability needs confirmation for a final valuation.
- Diluted weighted-average shares are an annual EPS measure, not necessarily the current fully diluted share count required for a valuation-date price target.
- A complete equity valuation still requires a valuation-date share price, market capitalization, enterprise value, a fully diluted share count, and forward operating and cash-flow analysis.

Next analysis steps

1. Obtain the share price and fully diluted share count for the chosen valuation date.
2. Build a historical and forward view of EBITDA, EBIT, free cash flow, capital expenditures, and working capital.
3. Review debt maturities, interest expense, liquidity, covenants, and refinancing risk.
4. Analyze revenue growth, same-store sales, gross margin, store productivity, and competitive positioning.
5. Apply DCF and comparable-company valuation methods, then bridge each enterprise-value outcome to equity value using the same debt-and-cash convention.

I completed this work in today's class with the teammate(s) listed above, and this checkout is truthful.